

Impact of COVID-19 on Food Security In India

Group A

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Introduction: An Overview

Amidst the Corona pandemic, a lockdown is said to be the most effective method to battle the adverse situation.

What is a lockdown?

A lockdown in practice essentially means that all economic activities are shut down, leading to a disruption, or even complete halt in production and supply of goods and services.



Picture 1: Strict Lockdown going on in the province of Jammu and Kashmir

What this lockdown has led to?

- Both supply-side and demand-side problems.
- Lowered production fails to meet existing demand and people lose jobs and wages because economic activities are suspended.
- On the other hand since people stop venturing out to buy goods and services, there is an overall decrease in demand due to reduced consumption.

Data Source: https://www.mssrf.org/content/covid%C2%AD-19-pandemic-and-indian-agriculture-note

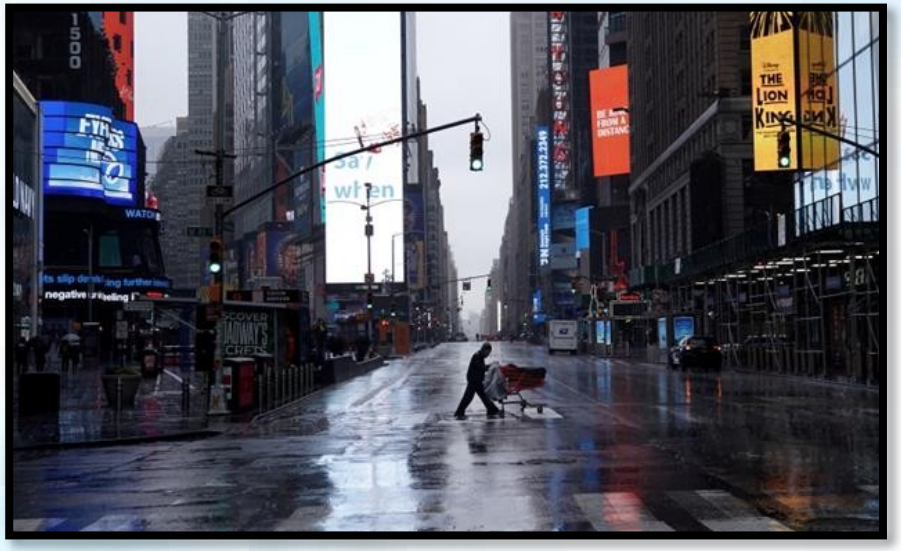
Impact Of Lockdown: A Worldwide Snippet

- Australia, which exports almost 65% of its produce, has been put in a tough spot with the shutting down of International import markets. Hence farmers have to sell within domestic markets otherwise their produce will be wasted.

- Airlines have grounded thousands of planes and ports have closed -- stranding containers of food, medicine, and other products on tarmacs and holding areas, said the UN Conference on Trade and Development on March 25.

- Panic buying and hoarding in some places added to worries that retailers and wholesalers whose inventories might be small already could be wiped out. Hence some countries have started saving their food items for their own citizens. On the other hand, as people are stock piling, after the pandemic is over people may have unnecessary stock lying around their home, which may also reduce consumption expenditures and demand.

- Restricted supplies have pushed up prices, not only locally but globally in some cases. In the Boston area, for example, the price of a dozen eggs has tripled in recent weeks. Higher prices and supply restrictions have created opportunities for black marketers. Police in Kyrgyzstan detained shipments of milled wheat flour that was being smuggled out of the country in sacks labeled “cement.”



Picture 2: The shutdown of New York has turned one of the most vibrant cities in the world into a ghost town.

Data Sources: https://www.rferl.org/a/how-will-the-covid-19-pandemic-affect-global-food-supplies-/30544359.html

https://edition.cnn.com/2020/04/10/asia/coronavirus-food-supply-asia-intl-hnk/index.html

Impact Of Lockdown: India

- The voluntary 14-hour curfew and lockdown of three weeks (extended up to 3rd May 2020 as of now) was announced to encourage social distancing to contain the spread of the virus. Restrictions are imposed on economic activities across India is having a devastating impact on the livelihood and food security of millions of people.

- The blanket closing of state borders has caused disruption in the supply of essential goods leading to inflation and fear of shortages.it has triggered state-wise disparity in food security and huge supply & demand problems.

- Loss of livelihood has widely affected the poor leading to lack of basic needs. Tens of thousands out-of-work migrant workers are stranded with transportation shut down leading to mass unemployment. India's rural section are threatened by penury and deprivation due to very little savings and a poor social security net, forcing them to borrow money and brave the threat of police violence in order to go out and work leading them to the possibility of starvation.

- Food distribution schemes are introduced by state governments but their failures led to the Central government announcing $22.5 bn relief package seeking to distribute food, cash and free gas cylinders. However, this measure is being seen as late, inadequate and inaccessible to the poor.



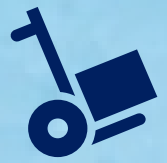
Picture 3: A man collecting spilled milk from the road along with stray dogs

Data Source:

https://www.hrw.org/news/2020/03/27/i

Food Security: analysis overview

We have described the impact of COVID-19 on food security in India in two sides:



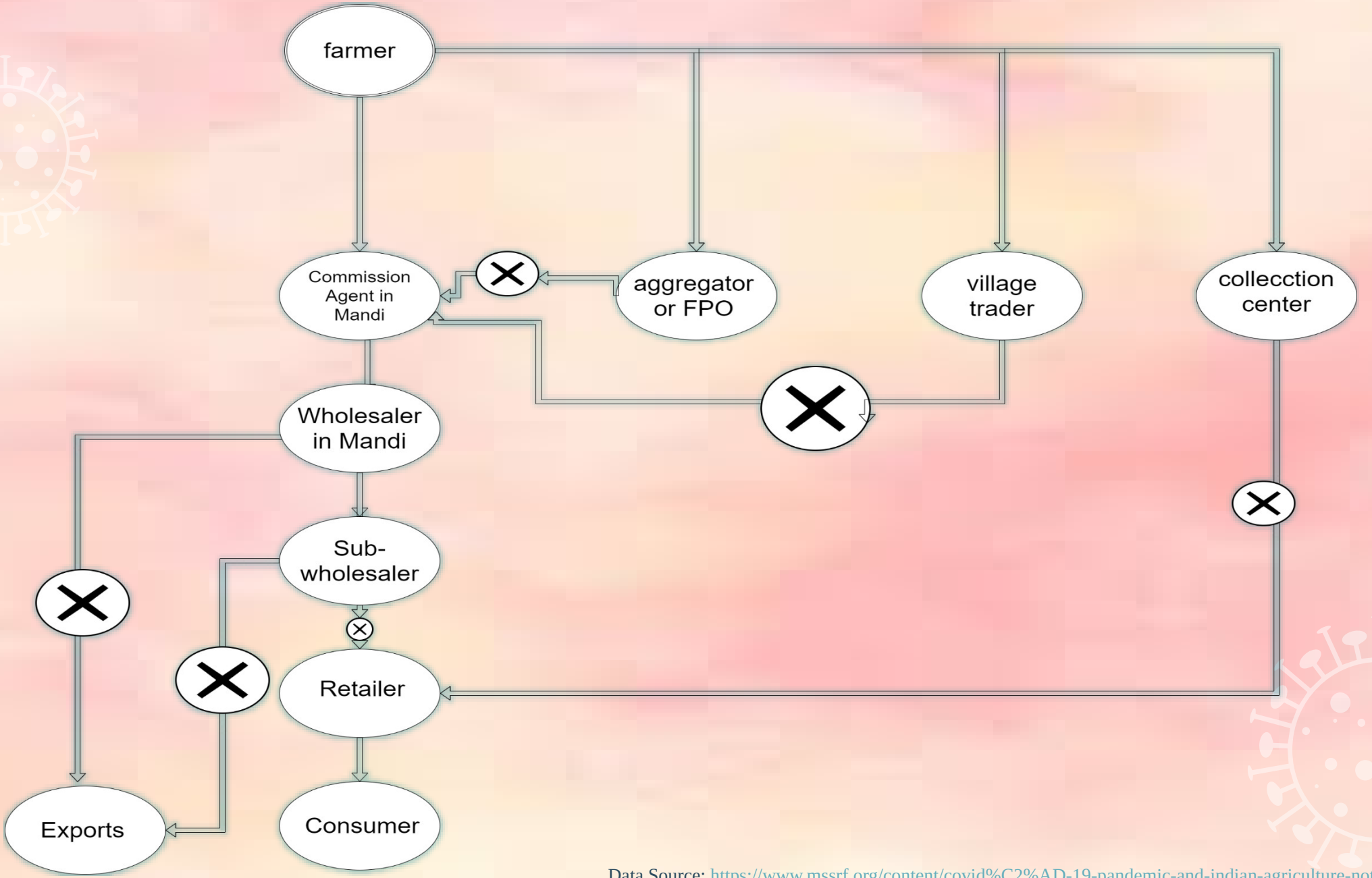
Supply side: processing foods and agriculture



Demand side: handing out food to the consumers



The Supply Chain during Lockdown



Data Source: https://www.mssrf.org/content/covid%C2%AD-19-pandemic-and-indian-agriculture-note

The Supply side

✓ Temporary bottlenecks in the flow of goods will distort supply chains for a brief period, even though there is no shortage of food grains in the country. Due to uncertainty over exports, price plummeting etc., farmers producing perishables like fruits and vegetables are facing a tough situation.



Picture 4: The parked supply trucks at their yard at Kolkata, amidst lockdown



Picture 5: Farmer crying as there is no harvesting

✓Due to the lockdown, Boro crop harvesting which requires heavy machineries from other states in the months of March & April has been halted. Harvesting of rabi crops will be affected due to a halt in inter-state movement of migrant workers.

The Supply side ,continued (1)

✓As the hotels and restaurants will remain close during lockdown, the government has imposed restrictions on importing edible oils so there will be a supply tightness of edible oils and fats in the country.



Picture 6: Stocks of edible oil lying at domestic industry due to government's restriction on imports, causing a supply tightness.



Picture 7: The huge stocks of food grains in FCI warehouses.

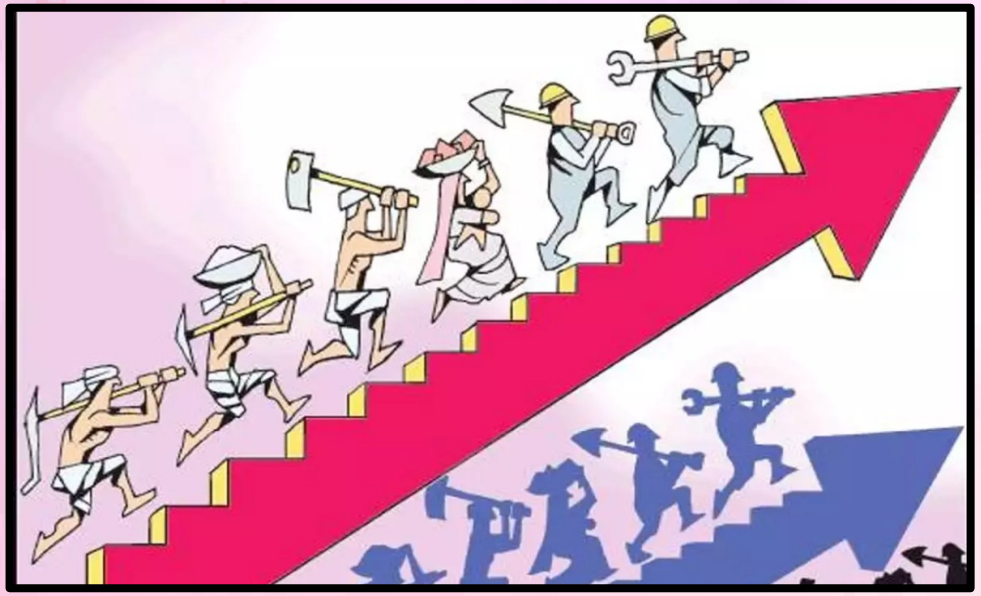
✓Storage of commodities in warehouses will take a longer time than usual. Scarcity of agricultural warehousing space will be seen, when the kharif crops hits the market, being there huge stocks in FCI warehouses.

The Supply side ,continued (2)

✓ Black marketing and other malpractices are causing delay in supplying rations to the people, even after maintaining a social distance outside ration shops.



Picture 8: People standing in queues & maintaining social distance outside a ration shop.



Picture 9: For a growth like this, more amount of financial stimulus is required in agricultural and other informal sectors.

✓Agricultural sector is a largely informal sector, a generous proportion of stimulus should be allotted to this sector for effective implementation of relief measures.

Data source: www.thehindubusinessline.com/economy/agri-business/covid-19-puts-indias-food-supply-chain-to-a-stress-test/article371173973.ece/amp/ (26/3/20)

The Supply side ,continued (3)

Parameter Name	Low impact	Medium impact	High impact	Unknown impact
Price variations of key raw materials	Cereals, vegetables, milk, fruits, agricultural inputs	Seafood & meat	Poultry eggs & chicken	Industrial commodities like maize, soy, cakes etc.
Production shutdown	All essential food processing units	-	Ice-cream & Quick Service Restaurants	-
Cash flow constraints	All essential foods	-	Food delivery, online grocery	-
Supply chain disruption	Vegetables, milk, fruits etc.	-	Poultry eggs, chicken	-
Labor force	-	-	Seasonal food processing like seafood, mango etc.	-
Imports(if applicable)	Consumer edible oils	Agro chemicals	Industrial oils & fats	-

Table 1: shows the impact of the food supplies in India based on the given parameters

Data Source: Potential impact of COVID-19 on the Indian Economy (1/4/20)

The Demand side

Income Category	Impact
High Income & Upper Middle Income	• Supermarket shelves are remaining empty, due to hoarding and stock piling by people thus creating an artificial scarcity. • Market places are over-crowded. • Farmers who are able to bring their produce to the market, are charging higher prices for the inconvenience of lack of travel services like local trains. • Online food delivery systems aren't as readily available.
Lower Middle Income	• Most of India's population belongs to this category and sadly, they aren't as aware. • Ration shops are witnessing long queues outside them, where social distance is not being maintained at times. Hence small fights are taking place to get ration. • Rations aren't reaching their local shop on time.
Low Income	• Farmers who aren't able to travel to cities and sell their produce, are losing their source of income as their products are getting wasted. Thus, resulting in malnutrition and starvation. • Food supplies don't even reach the remote areas on time. • Due to roadside food stalls being closed, truck drivers aren't getting food which slows down the speed of food distribution. • Migrant workers have been travelling without food for days.

Table 2: shows the impact of Covid-19 on the demand side based on the income categories

The Demand side, continued(1)

…But what about the Marginalized community and the voiceless ?

- The Transgender Community, can't go to market places as police are chasing them away and none of the vendors are willing to provide them with free supplies. "*Transgender community is vulnerable because of lack of food security, housing, steady income, access to health and sanitation facilities. A high prevalence of HIV infection makes the community more susceptible to coronavirus and the culture of community living has created a situation of danger*," read a letter sent by a group of transgender activists to the Ministry of Social Justice and Empowerment. But even after such hardships we have also found them distributing rations to poor. But even after such hardships we have also found them distributing rations to poor.



Picture 10: Transgender Community in unity against Government to safeguard themselves from Covid -19

Data Source:-https://www.theweek.in/news/india/2020/03/30/hate-posters-against-transgenders-in-hyderabad-amid-covid-19-fears.amp.html

The Demand side, continued(2)

➢ For the sex workers, most of whom have a family to provide for, have either travelled back to their villages or are living with their community in brothels. While the central government is yet to even acknowledge their existence, West Bengal Government has assured that food will be delivered to them.



Picture 11: Distribution of masks by sex workers



Picture 12: Highly affected stray animals in the initial times

- Dependence of millions of stray animals on the daily markets, restaurants, shops, temples and good Samaritans for food and water led to their starvation.
- The steps taken by the Central Government for the welfare of the strays in this time of emergency includes issuing of advisory to all secretaries of states and union territories in India regarding caring for animals. But the rising number of deaths of the street animals due to starvation in various states of the country speaks about effectiveness of the steps taken by the Government.
- States like Odisha and West Bengal have sanctioned Rs54 lakhs and mobile vans to cater the needs of the animals respectively.

Data Source: https://www.google.com/amp/s/www.outlookindia.com/website/amp/india-news-will-stray-animals-survive-the-coronavirus-lockdown/349688

Central Government’s Initiative

The Government of India has announced a $22.5 billion economic stimulus plan to ensure food security measures by offering relief to millions of poor people who are hit hard by the nationwide lockdown. This package targets the following:-

- Distribution of 5kg of wheat or rice for each person free of cost every month, with 1 kg of pulses for every low income group.
- Handing out free cooking gas cylinders to 83 million poor families.
- One time cash transfer of $13.31 to 30 million senior citizens.
- $6.65 a month to about 200 million poor women for the next three month.

Data Source: https://www.cnbc.com/2020/03/26/coronavirus-india-needs-a-support-package-larger-than-20-billion-dollars.html

State Governments' Initiatives

STATES	NOTIFICATION AND RELIEF MEASURES RELATING TO FOOD	NOTIFICATION AND MEASURES RELATING TO FINANCIAL SUPPORT AND RELIEF
ANDHRA PRADESH	• Free Ration of Rice and 1kg Red Gram Dal for April. • Doorstep delivery of essentials. • All BPL families to get Ration along with a KG of Dal thrice in April.	• Rs 1000 one time support to all ration card holders. • Pension to be delivered as usual.
CHATTISGARH	• Distribution of food packets to the destitute(with NGO 's help). • Rice for 2 months to be provided in April for all Ration Card holders. Sugar and Salt for two months.	• While Chhattisgarh has not provided financial support, Rural Development Department has issued orders to identify works to provide works to provide employment
DELHI	• 7.5 kgs free ration for 72 lakh beneficiaries. • 500 hunger relief centres for free food(serving lunch and dinner)	• Rs 5000 cash support to all construction workers and daily wage labourers. • Double pension in March for widows, differently abled and elderly.

Table 3: shows the measures taken by some state governments relating to food shortage & financial support

Table 3(continued)

HARYANA	• Free ration for April to all BPL families. • Dry ration for children enrolled in school and Anganwadi	• Beneficiaries under MMPSY to get the balance amount by 31 march 2020. Further Rs 6000 for each family in April. • BPL families to get Rs 4500 per month through bank transfer. • Street vendors mazdoor and other poor people can register and avail Rs 1000 per week.
JHARKHAND	• Community Kitchen centres to be opened in all thanas in districts until end of May'2020 to serve-migrants, homeless and disables. • Dry ration for areas where community kitchens are not accessible 5000 packets to be distributed in Ranchi and 2000 in rest of districts.	• Full payment to registered daily wage workers during lockdown period.
KERALA	• Community kitchens at panchayat and Municipality ward level. • Food to be delivered to home to poor, aged and chronically ill. • Free provision to all BPL card holders+ additional 35 kgs. • 15 kgs rice free for APL card holders. • Free provision kits to those under quarantine.	• Advance payment of payment of pension for month of April. • Rs 2000 consumer loan for those impacted by COVID-19. • Rs 2000 through village employment assurance programme-April and May. • Extension for payment of water and electricity bills. • Tax relief to auto rikshaws, taxis and buses

Table 3(continued)

MADHYA PRADESH	• Providing free of cost food to people in isolation, homeless, and destitute. • Door to Door facility available. • Free ration for all BPL household for a month	• Rs 1000 to registered labourers. • Rs 2000 for two months to Saharia , Baiga and Bharia families. • Advance two months pension of Rs 1200 for social security pensioners.
MAHARASHTRA	• Home delivery of cooked food –pregnant , lactating women and children(7 months -6 years) in tribal areas. • Additional 5 kgs of ration per month for three months. • Food along with healthcare for migrant families. • Price of Shiv Bhojan Thali reduced to Rs 5 from Rs10.	–
ODHISHA	• Hot cooked meals and dry ready to eat meals for poor , sick and destitute. • Free cooked meal packets twice a day to urban homeless. • Sanctioning of RS 54 lakhs to feed the stray animals.	• Has issued orders for special implementation of NREGA and issuing of additional job cards.
RAJASTHAN	• Free packets of food items for two months to street vendors, daily wage labourers and other needy families. • Families under NFSA to receive free wheat until May.	• Payment of two months pension for NSAP beneficiaries. • Rs 1000 one time payment to construction workers, registered street vendors, labourers, unaided and needy families, BPL and Antodaya families.

Table 3(continued)

TELANGANA	• 12 kgs of rice/wheat for all white ration card holder and migrants	• Rs 1500 for all White Card holders. • Full wage payment and contractual workers.
TAMIL NADU	• Free rice, dal , cooking oil and sugar for ration card holders. • 15 kg rice, 1 kg dal, 1 kg cooking oil to construction workers and auto rikshaw drivers. • Doorstep delivery of food to elderly .	• Rs 1000 to all ration card holders. • Rs 1000 to construction workers and auto rikshaw drivers registered with welfare board. • Rs 1000 to platform vendors registered with government.
UTTAR PRADESH	• Food grains and other essential items free of cost for labourers and daily wage workers.	• Financial support of Rs 353 crores to 3.53 million daily wage earners.
WEST BENGAL	• Free ration to AAY, SPHH, PHH and RKSY category ration card holders. • 15 kg rice, 9 kg wheat to RSKY. • Food, lodging and wage payments for stranded migrant workers	-

Data source: https://theprint.in/india/governance/coronavirus-lockdown-what-states-are-doing-to-help-the-poor-and-unorganized-workers/388156/ (25/3/20)

Help From Private Companies And NGOs

Apart from the govt. , many NGOs and private companies are also trying to reach out to the poor to sustain their livelihoods.

- Uday Foundation has set a target to feed at least 50,000 individuals.
- Goonj is helping with essentials like dry ration and personal care material to over a million people. Khushiyaan Foundation, through its ‘Roti Ghar’ initiative, provides healthy and freshly cooked meals to children on the streets once a day.
- 7,95,614 cooked meals have been served and 5,104 grocery kits have been delivered by Akshaya Patra Foundation.
- Swiggy recently launched the ‘Hope, not hunger’ initiative to support the Delhi government’s program to feed the needy. PepsiCo. commits to provide over 5 million meals to India. Zomato is “Feeding India” with 50 crore INR.
- Others: Give India, MCKS Food for the Hungry Foundation, Youth for Unity and Voluntary Action, Bhavishya Bharat.



Data Source: https://www.investindia.gov.in/bip/resources/list-ngos-providing-relief-during-covid-19 (24/04/20)

Recommendations

Along with the initiatives taken by the government for food security, it should ensure the following:

- Ration dealers accused to black-marketing and other malpractice cases must be punished with a heavy fine.
- Pradhan Mantri Fasal Bima Yojana should be expanded immediately to ensure compensation payments to COVID-19 affected farmers.
- Keeping in mind the scheme of 100 days work/year, all the holders of MGNREGS jobs card should be provided with an unemployment allowance or assistance where they will be provided with at least half the payments they usually receive.
- Government should see that all the households that do not fall under the priority list should also be provided with food grains for the first 3 months at the rate of 5kg per capita per month.
- There should be enough arrangements regarding raw and cooked food, shelter and clothing for migrant workers in villages.

Data Source: https://www.mssrf.org/content/covid%C2%AD-19-pandemic-and-indian-agriculture-note (11/4/20)
https://www.ifpri.org/blog/how-indias-food-based-safety-net-responding-covid-19-lockdown (6/4/20)

Recommendations, continued(1)

- The government should consider waiving the interest cost of all outstanding crop loans and ensure a fresh flow of credit to small and marginal farmers for the kharif season of 2020.

- Expansion of procurements for farmers along with raising their Minimum Support Price (MSP) to 1.5 times of the C2 cost of production is mandatory by the government.

- Nutrition programs like Integrated Child Development Service (ICDS), mid-day meals and Anganwadis should continue to work as essential services and should provide ration and meals to recipients at home.



Picture 13: Food Distribution from cold storage to the markets

Recommendations, continued(2)

- The states should themselves work together in harmony for food transportation seamlessly across their boarders to ensure there is no shortage of food in any zones.

- Doorstep delivery, which has been initiated by various private firms, should be taken up widely for minimizing exposure for the elderly, particularly for high risk groups, and will also help in maintaining social distancing.

- Stray dogs, cows and birds cannot spread coronavirus to humans. Hence it is a general advice for all the people to come forward and feed the stray animals and beggars in their area, following all good personal and public hygiene practices, so that they won't suffer out of starvation.



Picture 14: Stray animals provided with food by the local Police

From the desk of economists

What are the economists suggesting for India to fight this COVID-19 pandemic ?



Abhijit Vinayak Banerjee & Esther Duflo
Nobel Laureates

"Be much, much bolder with the social transfers schemes. Without that, the demand crisis will snowball into an economic avalanche, and people will have no choice but to defy orders."



Raghuram Rajan,
Former RBI Governor

"Our limited fiscal resources are certainly a worry. However, spending on the needy at this time is a high priority use of resources, the right thing to do as a humane nation, as well as a contributor to the fight against the virus."



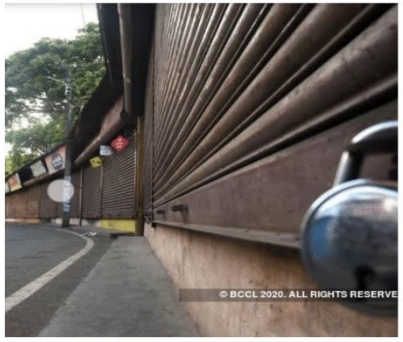
Kaushik Basu,
Former Chief Economic Adviser to Government of India

"Along with cash supplements, the poor will need direct support with food, healthcare and basic needs. If shortages appear, prices will rise and the poor, even with cash handouts, will get outcompeted."

Conclusion

- ✓ In India, the cases of COVID-19 has been increasing at an exponential rate.
- ✓ According to the reports by Ministry of Health, India, the no. of COVID-19 cases in India has crossed 10,000 within a month and based on the reports published on (23/04/20), the no. of cases has crossed 20,000 inspite of an ongoing lockdown.
- ✓ Still now the impact of COVID-19 on food security in India has been a significant one i.e. in the short run, but being the situation an uncertain one, it is very difficult to predict how much effect will this pandemic have on the food security of India in the long run.

Picture Gallery












Thank you

Stay safe, stay at home

Contributions

AREAS OF CONTRIBUTION	NAME OF THE GROUP MEMBERS
Introduction & Impact of Lockdown: India	Abhishikta Kundu.
Impact of Lockdown: A Worldwide-Snippet	Vasundhara Chatterjee.
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Government Initiatives(both Central & States)	Shreya Ghosh.
Help from Private Companies & NGOs	Pronay Ghosh.
Recommendations	Moulina Bandyopadhyay.
Conclusion	Avike Paul.
Powerpoint Presentation	Avike Paul, Moulina Bandyopadhyay, Pronay Ghosh.

